

PAT showed decent growth of 46% yoy to INR 513 mn led by strong NII growth, improved spreads and stable cost. Gross loan assets registered growth of 36% yoy/8% qoq to INR 58 bn in Q1FY23. Disbursements for the quarter were at INR 6.6 bn vs. INR 6.4 bn last quarter. Incremental portfolio yields for the quarter have moved up by 50 bps each to 13.2% (vs. avg 12.7%) and borrowings cost by 80 bps to 7.7% (vs. avg. 6.9%) for the quarter. While asset quality performance was also stable.

Overall, the company posted good set of numbers. At CMP of 839, it is trading at 4.3x/3.7x on FY23e/FY24e ABV respectively with ROA/ROE of 4.1%/15.1% (FY24e). Current high valuation multiple are here to stay given higher return ratios led by higher asset growth. Retain BUY with revised TP of INR 954, upside of 14% from current levels (target multiple of 4.2x FY24e ABV).

- PAT showed decent growth of 46% yoy to INR 513 mn led by strong NII growth, improved spreads and stable cost
- Durable asset growth** – Gross loan assets registered growth of 36% yoy/8% qoq to INR 58 bn in Q1FY23. Incremental disbursements for the quarter were at INR 6.6 bn vs. INR 6.4 bn last quarter. Assigned loans form 19% of the total outstanding loans currently. The company expects strong AUM trajectory going forward at 25-30% for current fiscal. Housing loans, having a share of 90% in the total assets, registered healthy asset growth 32% yoy/7% qoq
- Margins sustained, however, small blip expected in FY23** – Blended yields were at 12.7% vs. 12.8% qoq while cost of borrowings at 6.9% vs. 7.2% qoq. Incremental portfolio yields for the quarter have moved up by 50 bps each to 13.2% (vs. avg 12.7%) and borrowings cost by 80 bps to 7.7% (vs. avg. 6.9%) for the quarter.

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	1,895	2,622	3,463	4,504
PAT	1,001	1,861	2,173	2,917
Net worth	13,805	15,737	17,910	20,827
Adj BVPS	153	171	195	227
EPS (Rs)	11	21	25	33
P/ABV (x)	5	5	4	4
P/E (x)	73	39	34	25
RoA (%)	3	4	4	4
RoE (%)	9	13	13	15

Source: Dalal & Broacha Research, Company

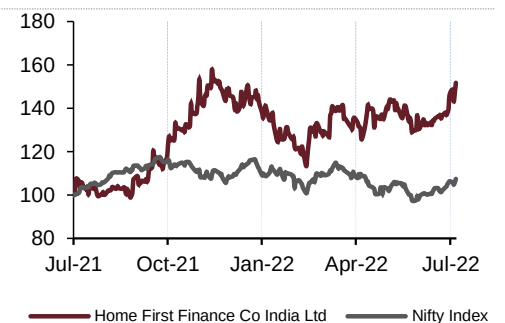
Rating	TP (Rs)	Up/Dn (%)
BUY	954	13

Market data

Current price	Rs	848
Market Cap (Rs.Bn)	(Rs Bn)	74
Market Cap (US\$ Mn)	(US\$ Mn)	931
Face Value	Rs	2
52 Weeks High/Low	Rs	921 / 535
Average Daily Volume	('000)	49
BSE Code		543259
Bloomberg		HOMEFIRS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	33.58	33.60
Public	66.40	66.38
Others	0.01	0.02
Total	100	100

Source: Bloomberg

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It sees the cost pressures kicking in this current uptick of cycle, however, large part of it would be transferred to borrowers given its niche lending segment. Also, large part of the loans are floating based loans wherein repricing is expected at faster pace. The NBFC expects to maintain spreads of 5.2-5.3% levels for current fiscal. We expect spreads (Calc.) of 5.6% in FY23e vs. 5.9% in FY22.

- **Asset quality performance stable** – Performance of NBFC is good on asset quality side; stage 1 assets have come off from 8.9% to 5% yoy, stage 2 assets to 3.5% from 5.8% and stage 2 assets at 2.1% vs. 1.9% yoy. Write-offs for the quarter were at INR 28 cr. Going forward also, outlook of the asset quality is stable, we anticipate credit cost of 60 bps for FY23e.

Valuations & outlook

Home First is in a sweet spot to capture opportunities in affordable housing market segment. It is technology driven affordable housing finance company with pan India presence with more focus on first-time home loans buyers having salaried income <50k per month. It is in niche market segment and currently in high growth phase. In the medium term, AUM is likely to grow at strong rates of ~25-30%. Backed on this, PAT is likely to grow at healthy CAGR of 25% over FY22-24e

At CMP of 839, it is trading at 4.3x/3.7x on FY23e/FY24e ABV respectively with ROA/ROE of 4.1%/15.1% (FY24e). In our view, current premium valuation multiple are here to stay given superior return ratios led by higher asset growth. Retain BUY with revised TP of INR 954, upside of 14% from current levels (target multiple of 4.2x FY24e ABV).

Quarterly Financials

(Rs mn)	Q1FY23	Q4FY22	Q4FY21	Q1FY21	Q3FY22	Q-o-Q	Y-o-Y
Interest income	1,450	1,310	1,045	1,091	1,215	11%	33%
Interest expense	605	536	535	527	545	13%	15%
Net interest income	845	774	511	564	670	9%	50%
Net gain on DA	99	138	182	194	176	-28%	-49%
Other Income	144.5	112	131	133	127	29%	9%
Net Income	1,089	1,025	824	891	973	6%	22%
Operating Expenses	390	366	315	284	321	6%	37%
Employee expense	229	229	189	186	201	0%	24%
Other expense	160	137	126	99	120	17%	63%
PPOP	699	659	509	607	651	6%	15%
Provisions	36.1	27	83	130	60	35%	-72%
PBT	663	632	425	476	591	5%	39%
Tax	150.5	150	112	125	132	0%	20%
One-time tax adjustment		-120	-		-		
PAT	513	602	313	351	459	-15%	46%
Loan Book (Rs mn)							
Disbursements	6,610	6,411	4,518	3,046	5,696	3%	117%
Gross Loan Assets / AUM	58,319	53,803	41,411	42,943	49,940	8%	36%
Assigned Assets	11,131	10,252	7,656	8,488	9,914	9%	31%
Loans – Principal Outstanding	47,678	43,515	33,718	34,411	40,004	10%	39%
AUM Mix (%)							
Housing Loan	52,487	48,844	38,259	39,675	45,700	7%	32%
Loans for Commercial Property	583	520	378	392	467	12%	49%
Loans Against Property	5,249	4,214	2,297	2,467	3,512	25%	113%
Developer Finance		226	478	409	262	-100%	-100%
Total	58,319	53,803	41,411	42,943	49,940	8%	36%
Asset Quality (%)							
DPD 1+	5.0%	5.3%	6.2%	8.9%	6.5%	-28 bps	-390 bps
DPD 30+/POS	3.5%	3.7%	4.1%	5.8%	4.7%	-15 bps	-227 bps
Stage 3/ POS	2.1%	2.3%	1.8%	1.9%	2.6%	-23 bps	17 bps
Stage 3 (net)/net POS	1.7%	1.8%	1.2%	1.4%	2.0%	-7 bps	25 bps
PCR	45.8%	47.1%	74.4%	70.3%	46.2%	-126 bps	-2451 bps
Yield, Cost of Funds & Spreads (%)							
Portfolio Yield (IGAAP)	12.7%	12.8%	12.8%	12.7%	12.8%	-7 bps	0 bps
Cost of Borrowings (IGAAP)	6.9%	7.2%	7.4%	7.2%	7.2%	-25 bps	-30 bps
Spread	5.8%	5.6%	5.4%	5.5%	5.6%	18 bps	30 bps
NIM	6.4%	6.3%	4.8%	5.0%	5.8%	2 bps	140 bps
Other Ratios (%)							
Cost-to-income	35.8%	35.7%	38.3%	31.9%	33.0%	8 bps	390 bps
CRAR (%)	52.3%	58.6%	56.2%	56.4%	59.0%	-631 bps	-407 bps
Return on assets	3.9%	4.9%	2.9%	3.1%	4.0%	-107 bps	77 bps
Return on equity	12.8%	15.6%	10.1%	10.0%	12.4%	-280 bps	278 bps

Source: Company, Dalal & Broacha Research

Financial

P&L (Rs Mn)	FY 21	FY 22	FY 23	FY 24	Ratios	FY21	FY22	FY23	FY24
Interest income	4,061	4,770	6,393	8,492	Growth (%)				
Interest expense	2,166	2,148	2,930	3,988	NII	27	38	32	30
NII	1,895	2,622	3,463	4,504	PPOP	36	51	29	31
Non-interest income	830	1,187	1,402	1,782	PAT	29	86	17	34
Net revenues	2,726	3,809	4,865	6,286	Advances	10	29	28	27
Operating expenses	1,064	1,296	1,627	2,034	Spread (%)				
PPOP	1,662	2,513	3,237	4,252	Yield on Funds	12.8	12.5	13.0	13.5
Provisions	322	250	332	353	Cost of Funds	7.8	6.6	7.4	7.8
PBT	1,340	2,263	2,905	3,899	Spread	5.0	5.9	5.6	5.7
Tax	339	402	732	983	NIM	4.4	4.8	5.1	5.2
PAT	1,001	1,861	2,173	2,917	Asset quality (%)				
Balance sheet	FY 21	FY 22	FY 23	FY 24	Gross NPAs	1.8	2.3	2.1	1.8
Share capital	175	175	175	175	Net NPAs	1.2	1.8	1.5	1.3
Reserves & surplus	13,631	15,562	17,735	20,652	Provisions	36	25	26	27
Net worth	13,805	15,737	17,910	20,827	Return ratios (%)				
Borrowings	30,537	34,668	44,520	57,408	RoE	8.7	12.6	12.9	15.1
Other liability	759	764	959	1,201	RoA	2.5	3.9	3.8	4.1
Total liabilities	45,101	51,169	63,389	79,436	Per share (Rs)				
Fixed assets	167	200	249	297	EPS	11.5	21.2	24.8	33.3
Investments	3,750	-	-	-	BV	158	180	204	238
Loans	33,265	43,049	55,301	70,506	ABV	153	171	195	227
Cash	6,799	6,678	6,483	7,248	Valuation (x)				
Other assets	1,121	1,242	1,355	1,385	P/E	73.1	39.5	33.8	25.2
Total assets	45,101	51,169	63,389	79,436	P/BV	5.3	4.7	4.1	3.5
					P/ABV	5.5	4.9	4.3	3.7

Source: Company, Dalal & Broach Research

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